

# Notes: Brav, Jiang, Partnoy & Thomas (JF, 2008)

## Hedge Fund Activism, Corporate Governance, and Firm Performance

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# 1 Big picture

- **Question.** What do activist hedge funds do, which firms do they target, how does the market react, and what happens to target firms after activism?
- **Setting.** The paper hand-collects a large U.S. sample of hedge fund activism events from 2001–2006, centered on Schedule 13D filings and related activism disclosures.
- **Main descriptive finding.** Hedge fund activism is not mostly about taking control. Activists usually hold minority stakes, often start nonconfrontationally, and frequently seek strategic, operational, governance, sale, or capital-structure changes.
- **Success.** Activists achieve success or partial success in roughly two-thirds of cases, depending on the objective and the hostile/nonhostile split.
- **Announcement return.** Around the Schedule 13D filing, target shareholders earn about 7–8% abnormal buy-and-hold returns over the  $(-20, +20)$  day window, with no reversal over the subsequent year.
- **Target characteristics.** Targets tend to be smaller, value-oriented, liquid firms with high institutional ownership and analyst coverage. They often have lower payout, more takeover defenses, and high CEO pay relative to peers.
- **Cross-sectional return result.** The market reaction is strongest when activists target sale of the company or business strategy changes. Capital-structure and governance-only goals produce weaker announcement effects.
- **Long-run result.** There is no evidence that the initial positive return reverses. Hedge fund deal-period returns are positive, and calendar-time regressions do not show systematic post-event underperformance.
- **Operating changes.** After activism, payout and leverage rise, operating performance improves after a delay, and CEO turnover increases. CEO compensation falls substantially.
- **Policy takeaway.** The evidence challenges the view that hedge fund activism is purely short-term value extraction. The paper portrays activism as informed shareholder monitoring with real governance and performance effects.

## 2 Data and measurement

### 2.1 Activism sample

- The sample covers hedge fund activism in the United States from 2001 through 2006.
- The core source is Schedule 13D filings. Investors crossing the 5% beneficial ownership threshold and intending to influence control must disclose their position and purpose.
- The authors supplement regulatory filings with news searches, press releases, hedge fund websites, court filings, merger documents, and target-firm disclosures.
- The final event sample contains 1,059 activism events. Some analyses use smaller samples when return data, Compustat data, governance data, or exit information are unavailable.

**Interpretation.** Schedule 13D filings provide a clear disclosure event, but the actual activism may begin before the filing. This is why the paper studies pre-filing price and turnover patterns.

### 2.2 Activist goals

- The paper classifies activists' stated goals into five broad categories:
  - general undervaluation / maximize shareholder value;

- capital structure;
  - business strategy;
  - sale of the company;
  - governance.
- Goals are not mutually exclusive. A single activism event may involve multiple objectives.
  - The authors code success and partial success based on whether the hedge fund’s stated objectives are achieved or partly achieved.

**Interpretation.** The goal classification is essential because activism is heterogeneous. Selling a company, changing business strategy, cutting excess cash, and changing board composition are economically different interventions.

## 2.3 Tactics and hostility

- Tactics range from private communication with management to shareholder proposals, proxy contests, lawsuits, and takeover bids.
- The paper defines hostile activism as confrontational tactics such as threatened or actual proxy contests, lawsuits, takeover bids, or public campaigns.
- Less than one-third of events are initially hostile. Many interventions begin with private communication.

**Interpretation.** This matters because activists often depend on other shareholders and boards rather than formal control. The paper emphasizes persuasion and monitoring, not just takeovers.

## 2.4 Target characteristics

- Target-firm characteristics are measured in the year before activism.
- Variables include market value, book-to-market, Tobin’s  $q$ , sales growth, return on assets, cash flow, prior stock return, leverage, cash, dividend yield, payout, R&D, Herfindahl index, governance index, analyst coverage, institutional ownership, and illiquidity.
- Targets are compared with matched firms in the same industry, year, size group, and book-to-market group.

**Interpretation.** The matching design asks what kinds of firms activists select relative to firms that are similar enough to be plausible alternatives.

## 2.5 Returns and performance outcomes

- Announcement returns are buy-and-hold abnormal returns around Schedule 13D filings.
- Abnormal turnover is measured relative to the pre-event window.
- Long-term returns are measured using deal holding-period returns and calendar-time factor regressions.
- Performance outcomes include CEO compensation, CEO turnover, EBITDA/assets, EBITDA/sales, payout yield, and leverage.

**Interpretation.** The paper triangulates: if activism creates value, there should be a positive market reaction, no later reversal, and evidence of real changes in firm policy or performance.

### 3 Empirical specifications and interpretation

#### 3.1 Matched-firm difference

For a firm characteristic  $X$ , the paper compares the target firm to matched firms:

$$Diff_i = X_i - \frac{1}{m} \sum_{j=1}^m X_j^{matched}.$$

**Interpretation.** A positive difference means the target firm has more of characteristic  $X$  than comparable non-target firms in the same broad industry, size, and valuation cell.

#### 3.2 Probit model for being targeted

The targeting regression can be summarized as

$$Pr(Targeted_{i,t+1} = 1) = \Phi(\alpha + \beta' X_{i,t}).$$

- $Targeted_{i,t+1}$  equals one if the firm is targeted by an activist hedge fund in the following year.
- $X_{i,t}$  includes lagged firm characteristics.
- The paper reports probit coefficients,  $t$ -statistics, and marginal probability effects from one-standard-deviation changes.

**Interpretation.** The probit estimates which characteristics predict activist targeting after controlling for other firm traits.

#### 3.3 Announcement-window abnormal returns

A simplified version of the announcement-window return is

$$BHAR_i(-20, +20) = \prod_{\tau=-20}^{20} (1 + R_{i,\tau}) - \prod_{\tau=-20}^{20} (1 + R_{\tau}^{mkt}).$$

**Interpretation.** The abnormal return measures the change in target value around the public revelation of activism, net of the market return.

#### 3.4 Cross-sectional announcement-return regression

The paper studies which activism types generate higher announcement returns:

$$AR_i = \alpha + \beta_1 \ln(MV_i) + \beta_2 LTDebt_i + \beta_3 Pre13F_i + \beta_4 AvgPreReturn_i + \sum_g \delta_g Goal_{ig} + u_i.$$

- $Goal_{ig}$  indicators include general, capital structure, business strategy, sale, and governance.
- $Pre13F$  equals one if the activist already disclosed a meaningful position in prior 13F filings.
- Hostile and nonhostile subsamples are analyzed separately.

**Interpretation.** Positive goal coefficients mean the market expects those activist agendas to create value. The negative coefficient on prior 13F ownership implies that some information is already impounded before the 13D filing.

### 3.5 Calendar-time long-term return regression

The four-factor return model is

$$R_{p,t} - R_{f,t} = \alpha + \beta_m(MKT_t - R_{f,t}) + \beta_sSMB_t + \beta_hHML_t + \beta_{mom}MOM_t + \varepsilon_t.$$

**Interpretation.** If announcement gains merely reflect overreaction, later alphas should be negative. The paper does not find such reversal.

### 3.6 Performance around activism

For firm outcome  $Y$ , the paper compares targets to matched firms before and after the event:

$$Diff_{i,t} = Y_{i,t}^{target} - Y_{i,t}^{matched}.$$

**Interpretation.** This tells whether target firms change relative to similar firms, not merely whether raw target performance moves with aggregate conditions.

## 4 Identification and empirical design

### 4.1 What the paper can identify

- The paper is not a randomized experiment. Activists choose targets.
- The main evidence is a combination of market reaction, matched-firm comparisons, cross-sectional differences by activism type, long-run return tests, and performance changes.
- The positive announcement return is informative because it reflects investors' expectations at the moment activism becomes public.
- The absence of long-run reversal reduces the concern that the announcement return is only temporary overreaction.

**Interpretation.** The paper's causal argument is cumulative rather than based on one quasi-experiment.

### 4.2 Why the event study is central

- The filing of a Schedule 13D is a discrete public information event.
- The event also discloses that the investor intends to influence management or control.
- Returns begin rising before the filing, consistent with market anticipation, leaks, or activist accumulation.
- The paper therefore uses a wide  $(-20, +20)$  window.

**Interpretation.** The wide window captures information arrival before the formal filing, but it also means the estimated return is not a pure one-day treatment effect.

### 4.3 Main threats to interpretation

- **Selection:** activists may pick firms that would have improved anyway.
- **Stock picking:** activists may simply identify undervalued stocks rather than create value.
- **Wealth transfer:** shareholder gains could come from creditors or managers.

- **Attrition:** successful activism can lead to sale of the target, making post-event operating analysis conditional on survival.

**Interpretation.** The paper addresses these concerns by using 13F pre-ownership, long-run returns, creditor-related checks, CEO pay/turnover evidence, and matched-firm performance comparisons.

#### 4.4 Why hedge funds differ from other institutional activists

- Hedge funds face fewer regulatory constraints than mutual funds and pension funds.
- They can hold concentrated positions, use leverage and derivatives, and pay managers high-powered incentives.
- They generally have fewer business conflicts with target management.
- They can coordinate with other funds and rely on support from institutional shareholders.

**Interpretation.** These organizational differences explain why hedge fund activism can succeed where earlier institutional activism often produced weak results.

## 5 Tables and figures

This section keeps adjacent visuals together when possible. All figures and tables are directly cropped from the original paper.

### 5.1 Table I: activist objectives and tactics

Read:

- The sample contains 1,059 activism events.
- The most common stated objective is general undervaluation or maximizing shareholder value: 511 events, or 48.3% of the sample.
- Capital-structure events include excess cash, leverage, dividends, repurchases, equity issuance, debt restructuring, and recapitalization.
- Business-strategy events include operational efficiency, refocusing, spinoffs, M&A as target or acquirer, and growth strategies.
- Sale of the company is a major category: selling the firm or assets appears in 148 events, and takeover/take-private pressure appears in 44 events.
- Governance objectives include rescinding takeover defenses, ousting CEOs or chairmen, board independence, disclosure/fraud issues, and executive pay.
- Tactics are usually not takeover bids. The most common tactic is communication with management, while proxy contests, lawsuits, and takeover bids are much less common.

**Economic message.** Hedge fund activism is broad. It is not just takeover pressure or proxy fights; it is a menu of strategic, financial, and governance interventions.

**Table I**  
**Summary of Events by Hedge Funds' Stated Goals**

The sample includes 1,059 events. Panel A reports the summary of the events sorted by hedge funds' stated objective. Columns 1 and 2 report the number of events, and the percentage among all events, of each category. Columns 3 and 4 list the rate of success (including partial success) and number of hostile events within each category. Columns 5 to 8 break down each category into hostile and nonhostile events and record the success and partial success rate within each subcategory. Percentages sum up to more than 100% since one event can have multiple objectives. (However, the first category and the other four categories are mutually exclusive.) An event is classified as successful if the hedge fund achieves its main stated goal and a partial success if the hedge fund and the company reach some settlement through negotiation that partially meets the fund's original goal. Panel B provides information on the tactics undertaken by hedge funds, including a breakdown into five categories and the percent of events in each category relative to the full sample. Since activist events can fall within more than one category the percentages in categories 2 through 7 sum to more than 51.7% (the remaining 48.3% fall into the first category).

| Objective Categories:                                    | All Events         |                 |               |                       | Hostile Events             |               | Nonhostile Events     |               |
|----------------------------------------------------------|--------------------|-----------------|---------------|-----------------------|----------------------------|---------------|-----------------------|---------------|
|                                                          | Num. of Events (1) | % of Sample (2) | % Success (3) | % Partial Success (4) | Num. of Hostile Events (5) | % Success (6) | % Partial Success (7) | % Success (8) |
| 1. General undervaluation/maximize shareholder value     | 511                | 48.30%          | —             | —                     | —                          | —             | —                     | —             |
| 2. Capital Structure                                     | 134                | 12.7%           | 32.0%         | 32.0%                 | 65                         | 23.1%         | 47.7%                 | 15.9%         |
| – Excess cash, under-leverage, dividends/repurchases     | 65                 | 6.1%            | 37.3%         | 35.4%                 | 38                         | 18.4%         | 50.0%                 | 9.5%          |
| – Equity issuance, restructure debt, recapitalization    | 69                 | 6.6%            | 26.8%         | 26.8%                 | 27                         | 14.7%         | 44.4%                 | 16.4%         |
| 3. Business Strategy                                     | 131                | 12.4%           | 35.6%         | 27.6%                 | 63                         | 35.2%         | 37.0%                 | 36.4%         |
| – Operational efficiency                                 | 96                 | 9.1%            | 27.8%         | 38.9%                 | 62                         | 17.7%         | 51.6%                 | 50.0%         |
| – Lack of focus, business restructuring and spinning off | 79                 | 7.5%            | 36.7%         | 19.0%                 | 42                         | 33.3%         | 21.4%                 | 40.5%         |
| – M&A as target (against the deal/for better terms)      | 25                 | 2.4%            | 20.0%         | 52.0%                 | 22                         | 18.2%         | 59.1%                 | 33.3%         |
| – M&A as acquirer (against the deal/for better terms)    | 12                 | 1.1%            | 44.4%         | —                     | 0                          | —             | —                     | 22.2%         |
| – Pursue growth strategies                               | —                  | —               | —             | —                     | —                          | —             | —                     | —             |
| 4. Sale of Target Company                                | 148                | 14.0%           | 37.0%         | 28.7%                 | 93                         | 30.1%         | 34.4%                 | 49.1%         |
| – Sell company or main assets to a third party           | 44                 | 4.2%            | 43.2%         | 25.0%                 | 34                         | 38.2%         | 32.3%                 | 60.0%         |
| – Take control/outright company and/or take it private   | 104                | 9.8%            | 34.6%         | 28.7%                 | 59                         | 30.7%         | 34.4%                 | 49.1%         |
| 5. Governance                                            | 60                 | 5.7%            | 21.7%         | 43.3%                 | 43                         | 18.6%         | 53.5%                 | 29.4%         |
| – Rescind takeover defenses                              | 19                 | 1.8%            | 26.7%         | 29.3%                 | 19                         | 30.7%         | 29.3%                 | —             |
| – Oust CEO, chairman                                     | 159                | 15.0%           | 34.4%         | 35.7%                 | 114                        | 31.6%         | 40.4%                 | 41.9%         |
| – Board independence and fair representation             | 58                 | 5.5%            | 42.1%         | 39.3%                 | 42                         | 38.1%         | 33.3%                 | 53.8%         |
| – More information disclosure/potential fraud            | 30                 | 2.8%            | 20.0%         | 44.4%                 | 18                         | 18.4%         | 50.0%                 | 27.3%         |
| – Excess executive compensation/pay for performance      | —                  | —               | —             | —                     | —                          | —             | —                     | —             |
| Sum of categories (2) through (5):                       | 548                | 51.7%           | 40.6%         | 25.8%                 | 286                        | 29.5%         | 38.6%                 | 53.7%         |

Panel B: Summary of Hedge Funds' Tactics:

| Tactic Categories:                                                                                                                                | % of All Events |
|---------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|
| 1. The hedge fund intends to communicate with the board/management on a regular basis with the goal of enhancing shareholder value                | 48.3%           |
| 2. The hedge fund seeks board representation without a proxy contest or confrontation with the existing management/board                          | 11.6%           |
| 3. The hedge fund makes formal shareholder proposals, or publicly criticizes the company and demands change                                       | 32.0%           |
| 4. The hedge fund threatens to wage a proxy fight in order to gain board representation, or to sue the company for breach of fiduciary duty, etc. | 7.6%            |
| 5. The hedge fund launches a proxy contest in order to replace the board                                                                          | 13.2%           |
| 6. The hedge fund sues the company                                                                                                                | 5.4%            |
| 7. The hedge fund intends to take control of the company, for example, with a takeover bid                                                        | 4.2%            |

### 5.2 Table II: capital commitment, exits, and holding periods

Read:

- The median initial ownership stake is 6.3%, and the median maximum stake is 9.1%.
- The median initial invested capital is \$11.9 million; the median maximum invested capital is \$15.8 million.
- At the 95th percentile, maximum ownership is 31.5%, still usually below outright control.
- For hostile events, median initial ownership is 6.6%, and median maximum ownership is 9.5%.
- The median completed holding period is 369 days; the 75th percentile is 647 days.
- Almost half of events still have no exit information by the end of the observation period.

**Economic message.** Activists usually operate through minority ownership and sustained pressure, not immediate control acquisition. This makes persuasion, coalition building, and monitoring central.

**Table II**  
**Hedge Funds' Capital Commitment and Investment Horizon**

Panel A provides the size of the hedge funds' stakes both in terms of dollar values (at cost), and as a percentage of the outstanding shares of the target companies. We report the 5<sup>th</sup>, 25<sup>th</sup>, 50<sup>th</sup> (median), 75<sup>th</sup>, and 95<sup>th</sup> percentiles of the sample. The "Initial" columns report the stakes that hedge funds take at their initial Schedule 13D filings. The "Max." columns report the maximum reported stakes that the funds accumulated in the targets as revealed from subsequent Schedule 13D/A filings. Panel B gives the breakdown of various forms of hedge fund exit. Reported in the last row are the percentages of events that have no information about exit by the end of March 2007. Finally, Panel C lists the length of holding period (in number of days) at different percentiles of the sample for the subsample that has exit information. In each panel, the statistics for the full sample and the subsample of hostile events are reported separately.

| Panel A: Capital Commitment (in 2006 Constant Dollars) |                                  |       |             |        |                                  |       |             |        |
|--------------------------------------------------------|----------------------------------|-------|-------------|--------|----------------------------------|-------|-------------|--------|
| All Events                                             |                                  |       |             |        | Hostile Events                   |       |             |        |
| Percentile                                             | Invested Capital<br>(\$ Million) |       | % Ownership |        | Invested Capital<br>(\$ Million) |       | % Ownership |        |
|                                                        | Initial                          | Max.  | Initial     | Max.   | Initial                          | Max.  | Initial     | Max.   |
| 5%                                                     | 0.69                             | 1     | 5.00%       | 5.00%  | 1.5                              | 1.9   | 3.50%       | 3.60%  |
| 25%                                                    | 3.5                              | 4.6   | 5.40%       | 6.50%  | 4.5                              | 6.8   | 5.60%       | 6.90%  |
| 50%                                                    | 11.9                             | 15.8  | 6.30%       | 9.10%  | 14.7                             | 20.45 | 6.60%       | 9.50%  |
| 75%                                                    | 40.3                             | 54.6  | 8.80%       | 13.20% | 44.2                             | 68.8  | 8.80%       | 13.00% |
| 95%                                                    | 186.8                            | 272.5 | 23.10%      | 31.50% | 321                              | 363.8 | 19.80%      | 29.50% |

| Panel B: Breakdown of Exit         |         |            |            |
|------------------------------------|---------|------------|------------|
| Categories                         | Hostile | Nonhostile | All Events |
| Sold shares on the open market     | 26.1%   | 39.3%      | 35.5%      |
| Target company sold                | 16.2%   | 6.9%       | 9.5%       |
| Target company merged into another | 9.9%    | 3.8%       | 5.5%       |
| Liquidated                         | 1.8%    | 0.7%       | 1.0%       |
| Shares sold back to target company | 1.8%    | 0.5%       | 0.9%       |
| Still holding/no information       | 44.1%   | 48.4%      | 47.6%      |

| Panel C: Length of Holding Period (Days) for Completed Spells |                   |                      |            |
|---------------------------------------------------------------|-------------------|----------------------|------------|
| Percentile                                                    | Hostile (Initial) | Nonhostile (Initial) | All Events |
| 5%                                                            | 32                | 45                   | 43         |
| 25%                                                           | 126               | 171                  | 169        |
| 50%                                                           | 319               | 375                  | 369        |
| 75%                                                           | 610               | 672                  | 647        |
| 95%                                                           | 1,550             | 1,679                | 1,649      |

### 5.3 Table III and Table IV: who gets targeted?

**Read: Table III:**

- Targets are relatively small: median market value is about \$160 million.
- Targets are value-oriented and have lower market valuation relative to matched firms.
- Targets have positive operating performance and cash flow, but lower growth.
- Targets have lower dividend yield and payout, higher institutional ownership, and higher analyst coverage.
- Targets also have more governance defenses, as captured by the Gompers-Ishii-Metrick index.

**Read: Table IV:**

- The probit confirms that smaller firms, lower- $q$  firms, lower-growth firms, lower-dividend firms, more liquid firms, and firms with higher institutional ownership are more likely to be targeted.
- Analyst coverage is positively related to targeting in the first specification.
- The governance index is positive and significant when included, consistent with activists targeting firms with weaker shareholder rights.

**Economic message.** Activists target firms where intervention is feasible and where agency problems or strategic inefficiencies are plausible: small enough to influence, liquid enough to accumulate, and held by investors who may support the campaign.



Table III  
Characteristics of Target Companies

This table reports the characteristics of target companies and comparisons with a set of matched companies. The first three columns report the mean, median, and standard deviation of the characteristics for the target companies. Columns 4 through 6 report the average difference between the sample firms and the industry/book-to-market matched firms, the  $t$ -statistic for the average difference, and the Wilcoxon signed rank statistic, which is asymptotically normal, for the median difference. Size matching is dropped for the  $MV$  comparison, and book-to-market matching is dropped for  $BM$  and  $q$  analysis. The last five columns list the proportion of target firms that fall into each of the quintile groups formed by the CRSP/Compustat universe. All variables are retrieved from the year prior to the event year.  $MV$  is market capitalization in millions of dollars;  $q$  is defined as (book value of debt + market value of equity)/book value of debt + book value of equity;  $BM$  is the market-to-book ratio defined as (book value of equity)/market value of equity;  $GROWTH$  is the growth rate of sales over the previous year;  $ROA$  is return on assets, defined as EBITDA/assets (lag);  $CF$  is cash flow, defined as (net income + depreciation and amortization)/assets (lag);  $STKRET$  is the buy-and-hold return during the 12 months before the announced activism;  $LEV$  is the book leverage ratio defined as debt/debt + book value of equity;  $CASH$  is defined as (cash + cash equivalents)/assets;  $DIVYLD$  is dividend yield, defined as (common dividend + preferred dividends)/market value of common stock + book value of preferred;  $PAYOUT$  is the payout ratio, defined as the total dividend payments divided by net income before extraordinary items;  $RND$  is R&D scaled by lagged assets;  $HHI$  is the Herfindahl-Hirschman index of sales in different business segments as reported by Compustat;  $GINDEX$  is the Gompers, Ishii, and Metrick (2003) governance index, where high index values represent lower shareholder rights or higher management entrenchment;  $INST$  is the proportion of shares held by institutions; and  $ANALYST$  is the number of analysts covering the company from I/B/E/S. The characteristic  $AMHLD$  is the Amihud (2002) illiquidity measure, defined as the yearly average (using daily data) of  $1000/\sqrt{|\text{Returns}|/\text{Dollar Trading Volume}}$ .

| Firm Characteristic | Summary Statistics |               |           | Difference with Matched Firms |                           |                 | CRSP/COMPUSTAT Quintile Breakpoints |                |                |                 |                 |
|---------------------|--------------------|---------------|-----------|-------------------------------|---------------------------|-----------------|-------------------------------------|----------------|----------------|-----------------|-----------------|
|                     | Mean<br>(1)        | Median<br>(2) | SD<br>(3) | Avg. Diff.<br>(4)             | $t$ -stat of Diff.<br>(5) | Wilcoxon<br>(6) | % in Q1<br>(7)                      | % in Q2<br>(8) | % in Q3<br>(9) | % in Q4<br>(10) | % in Q5<br>(11) |
| <i>MV</i>           | 728.56             | 160.07        | 1669.17   | -63.54                        | -1.52                     | -2.05           | 0.214                               | 0.253          | 0.239          | 0.18            | 0.114           |
| <i>BM</i>           | 0.773              | 0.615         | 0.914     | 0.081                         | 4.28                      | 3.95            | 0.133                               | 0.143          | 0.169          | 0.195           | 0.36            |
| <i>q</i>            | 1.544              | 1.238         | 1.007     | -0.307                        | -9.17                     | -13.19          | 0.307                               | 0.203          | 0.209          | 0.176           | 0.106           |
| <i>GROWTH</i>       | 0.084              | 0.041         | 0.357     | -0.057                        | -4.44                     | -7.72           | 0.299                               | 0.234          | 0.194          | 0.117           | 0.156           |
| <i>ROA</i>          | 0.054              | 0.085         | 0.201     | 0.02                          | 2.12                      | 4.18            | 0.212                               | 0.178          | 0.217          | 0.155           | 0.208           |
| <i>CF</i>           | 0.022              | 0.047         | 0.18      | 0.018                         | 2.86                      | 3.23            | 0.231                               | 0.191          | 0.214          | 0.195           | 0.169           |
| <i>STKRET</i>       | 0.195              | -0.01         | 1.2       | -0.073                        | -3.11                     | -5.15           | 0.295                               | 0.16           | 0.169          | 0.141           | 0.234           |
| <i>LEV</i>          | 0.368              | 0.327         | 0.297     | 0.028                         | 2.91                      | 1.7             | 0.186                               | 0.197          | 0.197          | 0.207           | 0.203           |
| <i>CASH</i>         | 0.177              | 0.088         | 0.214     | -0.026                        | -3.61                     | -4.86           | 0.207                               | 0.178          | 0.225          | 0.208           | 0.183           |
| <i>DIVYLD</i>       | 0.007              | 0             | 0.016     | -0.001                        | -2.13                     | -5.48           | 0.754                               | -              | 0.129          | 0.119           | -               |
| <i>PAYOUT</i>       | 0.296              | 0             | 0.995     | -0.035                        | -1.81                     | -4.15           | -                                   | 0.720          | -              | 0.161           | 0.119           |
| <i>RND</i>          | 0.079              | 0.029         | 0.114     | -0.01                         | -2.21                     | -4.51           | 0.302                               | 0.21           | 0.157          | 0.19            | 0.181           |
| <i>HHI</i>          | 0.8                | 1             | 0.251     | -0.034                        | -3.64                     | -1.93           | 0.212                               | 0.214          | -              | 0.094           | -               |
| <i>GINDEX</i>       | 9.005              | 9             | 2.702     | 0.353                         | 2.27                      | 2.33            | 0.176                               | 0.251          | 0.142          | 0.21            | 0.22            |
| <i>ANALYST</i>      | 4.387              | 3             | 5.869     | 0.547                         | 3.01                      | 0.99            | 0.121                               | 0.156          | 0.226          | 0.175           | 0.32            |
| <i>INST</i>         | 0.447              | 0.274         | 0.274     | 0.083                         | 9.57                      | 8.82            | 0.086                               | 0.158          | 0.409          | 0.184           | 0.162           |
| <i>AMHLD</i>        | 0.466              | 0.193         | 0.699     | -0.075                        | -3.99                     | -7.45           | 0.091                               | 0.109          | 0.434          | 0.183           | 0.153           |

Table IV  
Probit Analysis of Targeting

This table reports the effects of covariates on the probability of being targeted by activist hedge funds. The dependent variable is a dummy variable equal to one if there is hedge fund activism targeting the company during the following year (that is, all covariates are lagged by 1 year). All independent variables are as defined in Table III. In the first column we exclude the variable *GINDEX*, while in column 2 we include it, to reflect the significant loss of observations due to the *GINDEX* data availability. In each column we report probit coefficients, their  $t$ -statistics, and the marginal probability change induced by a one-standard deviation change in the values of the covariates from their respective sample averages. \* and \*\* indicate statistical significance at the 10% and 5% levels.

| Dependent Variable:<br>Dummy (of<br>Being Targeted) | (1)         |                |             | (2)         |                |             |
|-----------------------------------------------------|-------------|----------------|-------------|-------------|----------------|-------------|
|                                                     | Coefficient | $t$ -statistic | Marg. Prob. | Coefficient | $t$ -statistic | Marg. Prob. |
| <i>MV</i>                                           | -0.08**     | -7.35          | -0.80%      | -0.14**     | -7.04          | -1.01%      |
| <i>q</i>                                            | -0.07**     | -4.77          | -0.49%      | -0.09**     | -3.01          | -0.56%      |
| <i>GROWTH</i>                                       | -0.14**     | -3.1           | -0.23%      | -0.1        | -1.16          | -0.14%      |
| <i>ROA</i>                                          | 0.44**      | 4.3            | 0.39%       | 0.33        | 1.35           | 0.19%       |
| <i>LEV</i>                                          | -0.02       | -0.42          | -0.03%      | 0.06        | 0.64           | 0.07%       |
| <i>DIVYLD</i>                                       | -5.26**     | -4.57          | -0.38%      | -4.89**     | -2.69          | -0.34%      |
| <i>RND</i>                                          | -0.15       | -0.77          | -0.07%      | -0.55       | -1.12          | -0.18%      |
| <i>HHI</i>                                          | -0.22**     | -3.61          | -0.23%      | -0.08       | -0.84          | -0.09%      |
| <i>ANALYST</i>                                      | 0.12**      | 6.12           | 0.59%       | 0.05        | 1.51           | 0.24%       |
| <i>INST</i>                                         | 0.07**      | 3.65           | 0.12%       | 0.32**      | 3.34           | 0.44%       |
| <i>GINDEX</i>                                       | -           | -              | -           | 0.02**      | 2.59           | 0.28%       |
| <i>CNST</i>                                         | -1.42**     | -18.59         | -           | -1.26**     | -7.04          | -           |
| No. of obs. and<br>Pseudo- $R^2$                    | 39,085      | 2.68%          |             | 14,758      | 4.39%          |             |
| Percent targeted                                    | 1.78%       |                |             | 1.83%       |                |             |

## 5.4 Figure 1 and Table V: announcement returns and type of activism

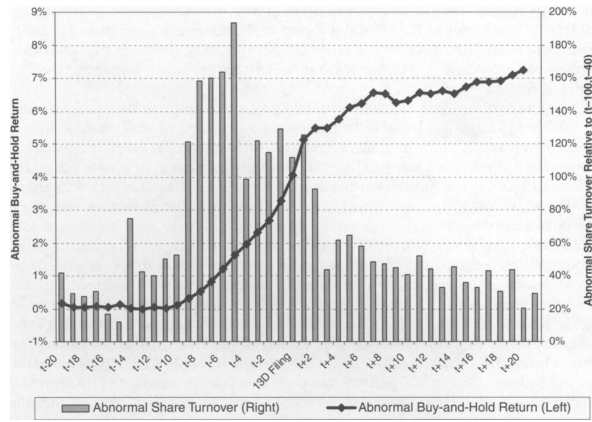
Read: Figure 1:

- Abnormal buy-and-hold returns rise sharply around the 13D filing.
- By the end of the  $(-20, +20)$  window, the cumulative abnormal return is roughly 7%.
- Abnormal turnover spikes before the filing, especially during the 10-day pre-filing period.

Read: Table V:

- Size is negatively related to announcement returns.
- Prior 13F ownership is negative, suggesting some information was already revealed before the 13D filing.
- General undervaluation, business strategy, and sale objectives have large positive coefficients.
- Sale objectives have the strongest effect: 8.54% in the full sample.
- Hostile activism adds a positive coefficient of 3.76%.

**Economic message.** The market expects value creation mainly when activists pursue real strategic change or a sale. The stock price reaction is not only about generic governance rhetoric.



(a) Announcement-window return and turnover.

**Table V**  
**Relation between Abnormal Return and Type of Activism**

The dependent variable is the abnormal return during the  $(-20,+20)$ -day window around the Schedule 13D filing (or announced activism for events with lower than a 5% stake) date. There are five categories, not mutually exclusive, as defined in Panel B of Table I. All regressions control for the size of the target firm,  $\ln(MV)$ , the log of market capitalization. Long-term debt,  $LTDebt$ , is the ratio of long-term debt to the sum of debt and market value of equity.  $Pre-13F$  is a dummy variable equal to one if the hedge fund had revealed significant ownership (more than 1% or \$1 million) based on its previous Form 13F filing.  $Aug\ Pre-Returns$  is the average abnormal return from prior events belonging to the same hedge fund (first timers are coded as zero, the neutral value). All nondummy variables are expressed as the deviation from the sample average values. Intercepts are suppressed in columns because of the full span of the dummy variables. The analysis in column 1 is conducted on the full sample. Columns 2 and 3 offer the partition of subsamples of events that are hostile/nonhostile at initiation. All  $t$ -statistics adjust for heteroskedasticity. \* and \*\* indicate statistical significance at the 10% and 5% levels.

| Dependent Variables:  | (1)         |                | (2)               |                | (3)                  |                |
|-----------------------|-------------|----------------|-------------------|----------------|----------------------|----------------|
|                       | Full Sample |                | Hostile (Initial) |                | Nonhostile (Initial) |                |
| Announcement Window   | Coefficient | $t$ -statistic | Coefficient       | $t$ -statistic | Coefficient          | $t$ -statistic |
| Abnormal Returns      |             |                |                   |                |                      |                |
| $\ln(MV)$             | -1.27%**    | -2.39          | 0.60%             | 0.5            | -1.38%**             | -2.09          |
| $LTDebt$              | -2.73%**    | -0.72          | 2.70%             | 0.37           | -4.88%**             | -1.01          |
| $Pre-13F$             | -3.27%**    | -2.1           | -2.69%            | -0.69          | -4.43%**             | -2.23          |
| $Avg\ Prereturns$     | 0.08%       | 1.36           | 0.04%             | 0.28           | 0.09%                | 1.34           |
| General               | 6.28%**     | 3.7            | —                 | —              | 6.21%**              | 3.96           |
| CapStructure          | 1.47%       | 0.78           | 1.23%             | 0.34           | 2.54%                | 1.17           |
| BusStrategy           | 5.95%**     | 3.08           | 3.34%             | 1.17           | 8.11%**              | 3.49           |
| Sale                  | 8.54%**     | 4.1            | 10.70%**          | 3.43           | 8.33%**              | 3.15           |
| Gov                   | 1.73%       | 0.92           | 4.95%**           | 1.73           | -0.02%               | -0.01          |
| Hostile               | 3.76%*      | 1.81           | —                 | —              | —                    | —              |
| No. of obs. and $R^2$ | 724         | 0.032          | 140               | 0.072          | 584                  | 0.029          |

(b) Return regressions by activism type.

## 5.5 Table VI and Figure 2: long-term returns and exits

Read: Table VI:

- Hedge funds earn positive deal holding-period returns. The mean raw deal-period return is 0.420, and the mean market-adjusted annualized return is 0.206.
- Equal-weighted factor regressions show a large positive event-window alpha.
- Post-event calendar-time alphas do not show a clear negative reversal.
- Value-weighted regressions also do not indicate systematic post-event underperformance.

Read: Figure 2:

- Activists tend to exit after positive returns in the full sample.
- Exits after failed activism are associated with weaker or negative returns.
- Turnover spikes around exit filings, consistent with meaningful trading activity around position reductions.

**Economic message.** The evidence is inconsistent with a simple pump-and-dump story. Announcement gains are not reversed, and exits generally occur after sustained positive performance.

**Table VI**  
**Long-Term Abnormal Returns Analysis**

The table reports statistics on short- and long-term abnormal returns associated with hedge fund activism. Panel A reports the average raw and annualized deal holding-period returns for the hedge funds in the first two columns. Buy-and-hold returns are computed beginning in the month prior to the announced activism through the month in which the funds exit. Exit is defined as the first quarter-end when the Form 13F filing indicates that the holding falls below 1% or \$1 million, or the last Schedule 13D/A filing date indicating that the ownership drops below 5% if there is no Form 13F information. If no exit information is available, we assume that the holding lasts till December 2006, the end of our sample. The last two columns report the annualized holding-period return in excess of the market and size-matched decile portfolio returns. Panels B and C report regression estimates and  $t$ -statistics from equal- and value-weighted calendar-time portfolio regressions. "Window" indicates the buying time relative to the event (hedge fund activism targeting) and the holding period in months. "Alpha" is the estimate of the regression intercept from the factor models. "Beta(-1)" and "Beta" are the factor loading on the lagged and concurrent market excess return (the Fama and French RMRF). "SMB," "HML," and "MOM" are the estimates of factor loading on the Fama-French size and book-to-market factors, and the Carhart momentum factor. " $R^2$ " is the  $R^2$  from the regressions. \* and \*\* indicate statistical significance at the 10% and 5% levels.

| Panel A: Hedge Fund Deal Holding-Period Return |                        |                       |                            |                          |
|------------------------------------------------|------------------------|-----------------------|----------------------------|--------------------------|
|                                                | Deal Period Raw Return | Annualized Raw Return | Annualized Market Adjusted | Annualized Size Adjusted |
| 1%                                             | -0.938                 | -0.933                | -1.017                     | -1.233                   |
| 5%                                             | -0.609                 | -0.607                | -0.708                     | -0.855                   |
| 25%                                            | -0.068                 | -0.062                | -0.197                     | -0.250                   |
| 50%                                            | 0.181                  | 0.149                 | 0.042                      | 0.003                    |
| 75%                                            | 0.692                  | 0.411                 | 0.283                      | 0.249                    |
| 95%                                            | 2.272                  | 1.753                 | 1.532                      | 1.459                    |
| 99%                                            | 4.674                  | 4.659                 | 4.393                      | 4.390                    |
| Mean                                           | 0.420**                | 0.330**               | 0.206**                    | 0.143**                  |
| Std. Dev.                                      | 0.979                  | 1.025                 | 1.004                      | 1.013                    |
| $F$ -val (Mean = 0)                            | 0.00%                  | 0.00%                 | 0.00%                      | 0.01%                    |

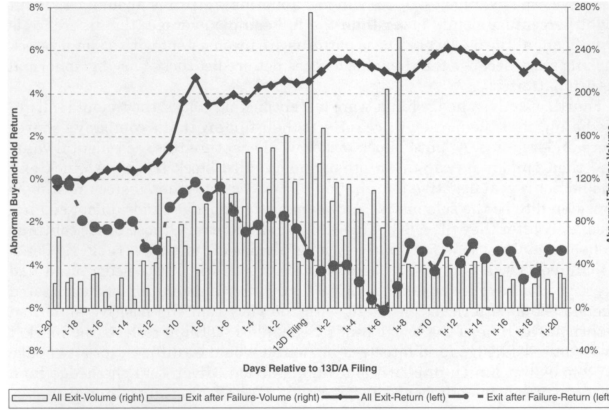
(continued)

**Table VI—Continued**

| Window (Months) | Panel B: Equal-Weighted Four-Factor Model |                |          |                |          |                |          |                |          |                |
|-----------------|-------------------------------------------|----------------|----------|----------------|----------|----------------|----------|----------------|----------|----------------|
|                 | Alpha                                     |                | Beta(-1) |                | Beta     |                | SMB      |                | HML      |                |
|                 | Estimate                                  | $t$ -statistic | Estimate | $t$ -statistic | Estimate | $t$ -statistic | Estimate | $t$ -statistic | Estimate | $t$ -statistic |
| (-12, -10)      | -1.023                                    | -1.82          | 0.123    | 1.04           | 0.976**  | 6.81           | 0.663**  | 4.4            | 0.421**  | 2.41           |
| (-9, -7)        | 0.283                                     | 0.54           | 0.078    | 0.67           | 0.671**  | 4.94           | 0.913**  | 6.69           | 0.17     | 1.01           |
| (-6, -4)        | -0.513                                    | -1.02          | 0.282    | 2.27           | 0.860**  | 6.22           | 0.801**  | 6.15           | 0.322*   | 1.91           |
| (-3, -1)        | -0.664                                    | -1.3           | -0.957   | -0.5           | 0.571**  | 4.44           | 0.906**  | 5.2            | 0.332*   | 1.88           |
| Event           | 3.085**                                   | 6.72           | 0.371**  | 2              | 0.401*   | 1.9            | 0.844**  | 2.45           | 0.205    | 0.72           |
| (1, 3)          | 1.052**                                   | 2.01           | 0.157    | 1.23           | 0.339*   | 2.26           | 0.611**  | 3.38           | 0.400*   | 1.74           |
| (4, 6)          | 0.237                                     | 0.52           | 0.195*   | 1.71           | 0.727**  | 5.24           | 0.989**  | 5.99           | 0.428**  | 2.34           |
| (7, 9)          | -0.093                                    | -0.19          | 0.118    | 0.77           | 0.902**  | 5.45           | 0.655**  | 3.41           | 0.387    | 1.48           |
| (10, 12)        | 1.124                                     | 1.84           | 0.008    | 0.04           | 0.776**  | 3.65           | 0.602**  | 2.41           | 0.909    | 0.03           |

| Window (Months) | Panel C: Value-Weighted Four-Factor Model |                |          |                |          |                |          |                |          |                |
|-----------------|-------------------------------------------|----------------|----------|----------------|----------|----------------|----------|----------------|----------|----------------|
|                 | Alpha                                     |                | Beta(-1) |                | Beta     |                | SMB      |                | HML      |                |
|                 | Estimate                                  | $t$ -statistic | Estimate | $t$ -statistic | Estimate | $t$ -statistic | Estimate | $t$ -statistic | Estimate | $t$ -statistic |
| (-12, -10)      | -2.377**                                  | -3.18          | -0.06    | -0.38          | 1.18**   | 6.17           | 0.413**  | 2.06           | 0.723**  | 3.1            |
| (-9, -7)        | -0.261                                    | -0.42          | 0.161    | 1.17           | 1.025**  | 6.46           | 0.482**  | 3.03           | 0.145    | 0.74           |
| (-6, -4)        | -2.122**                                  | -3.34          | 0.054    | 0.39           | 1.032**  | 6.34           | 0.834**  | 4.79           | 1.054**  | 4.98           |
| (-3, -1)        | -1.863**                                  | -2.33          | 0.159    | 0.99           | 0.731**  | 4.07           | 0.235    | 0.96           | 0.446*   | 1.96           |
| Event           | 1.616                                     | 1.18           | 0.820**  | 2.44           | 0.663*   | 1.74           | 0.678    | 1.43           | 0.112    | 0.22           |
| (1, 3)          | 0.141                                     | 0.28           | 0.211*   | 1.78           | 0.522**  | 3.75           | 0.450**  | 2.6            | 0.604**  | 2.84           |
| (4, 6)          | -0.883                                    | -1.24          | 0.053    | 0.24           | 1.005**  | 6.04           | 0.950**  | 4.84           | 0.99**   | 4.02           |
| (7, 9)          | -0.005                                    | -0.01          | 0.089    | 0.6            | 0.742**  | 4.57           | 0.587**  | 3.12           | 1.03**   | 4.03           |
| (10, 12)        | -0.041                                    | -0.08          | -0.132   | -0.82          | 0.985**  | 5.5            | 0.778**  | 3.89           | 0.660**  | 2.181          |



## 5.6 Table VII: changes in CEO pay, operating performance, payout, and leverage

Read:

- CEO pay falls after activism. Contracted CEO pay is especially lower in the year after the event.
- CEO turnover rises, reaching roughly 9.9 percentage points above the matched-firm benchmark around the event/post-event period.
- Operating performance improves with a lag: EBITDA/assets and EBITDA/sales rise more strongly two years after activism.
- Total payout and leverage rise relative to matched firms.
- These changes are consistent with reduced free-cash-flow problems, tighter discipline, and managerial replacement pressure.

**Economic message.** Activism is followed by real governance and policy changes. Shareholder gains appear related to changes in managerial discipline, payout, leverage, and operations, not merely temporary market enthusiasm.

**Table VII**  
**Target Firm Performance before and after Hedge Fund Activism**

Panel A, B, and C report various statistics of target company performance in excess of a matched sample in years before and after being targeted by activist hedge funds. In the columns marked "Year-by-Year Peer Match," a matching group for each target company is formed from other companies in the same industry/size/book-to-market group in each year. In the columns marked "t-2 Performance Match," a matching group consists of firms that have very close performance by the measure under consideration (the ratio being between 0.9 and 1.1) in year t-2, plus a best possible match along the industry and size dimensions. Difference is then taken between the target company and the average of the matching firms and then averaged over all target companies ("Diff w/ Match"). Also reported are the associated t-statistics. "CEO Contracted Pay" is the total CEO contracted pay including options valued at granting ("DCO" from ExecuComp). "CEO Pay-for-Performance" is the percentage of CEO take-home pay (including option exercises) that comes from equity-based incentives. "CEO Turnover" is the rate of CEO turnover. "Total Payout Yield" represents the sum of dividend and share repurchases scaled by the market value of equity. "Leverage" is the ratio of debt to the sum of debt and book value of equity. \* and \*\* indicate statistical significance at the 10% and 5% levels.

| Panel A: Executive Compensation and Turnover (Year-by-Year Peer Match Only) |                              |             |                             |             |                |             |
|-----------------------------------------------------------------------------|------------------------------|-------------|-----------------------------|-------------|----------------|-------------|
|                                                                             | CEO Contracted Pay (\$1,000) |             | CEO Pay-for-Performance (%) |             | % CEO Turnover |             |
|                                                                             | Diff w/ Match                | t-statistic | Diff w/ Match               | t-statistic | Diff w/ Match  | t-statistic |
| t-2                                                                         | -445                         | -1.33       | -7.10%**                    | -3.33       | 1.55%          | 0.62        |
| t-1                                                                         | 18                           | 0.05        | 0.29%                       | 0.12        | 2.52%          | 1.03        |
| Event                                                                       | 914**                        | 2.06        | 5.70%**                     | 2.56        | 5.82%**        | 1.88        |
| t+1                                                                         | -296                         | -0.73       | 6.14%**                     | 2.02        | 12.42%**       | 2.85        |
| (t+1)-(t-1)                                                                 | -315                         | -0.6        | 5.85%*                      | 1.94        | 9.90%**        | 2.34        |
| (t+1)-(t)                                                                   | -1,210**                     | -2.16       | 0.45%                       | 0.14        | 6.60%          | 1.16        |

| Panel B: Operational Performance      |                         |             |                       |             |                         |             |                       |             |  |
|---------------------------------------|-------------------------|-------------|-----------------------|-------------|-------------------------|-------------|-----------------------|-------------|--|
|                                       | EBITDA/Assets           |             |                       |             | EBITDA/Sales            |             |                       |             |  |
|                                       | Year-by-Year Peer Match |             | t-2 Performance Match |             | Year-by-Year Peer Match |             | t-2 Performance Match |             |  |
|                                       | Diff w/ Match           | t-statistic | Diff w/ Match         | t-statistic | Diff w/ Match           | t-statistic | Diff w/ Match         | t-statistic |  |
| t-2                                   | 1.99%**                 | 3.56        | 0.01%                 | -           | 4.41%                   | 1.26        | -0.02%                | -           |  |
| t-1                                   | 1.16%**                 | 2.17        | 0.32%                 | 0.3         | 2.86%                   | 0.81        | -1.54%                | -0.99       |  |
| Event                                 | 0.01%                   | 0.02        | -0.49%                | -0.95       | 2.79%                   | 0.88        | -3.03%*               | -1.77       |  |
| t+1                                   | 0.97%                   | 1.48        | 0.29%                 | 0.42        | 5.35%**                 | 1.84        | -2.31%                | -1.08       |  |
| t+2                                   | 2.67%**                 | 2.79        | 1.04%                 | 1.1         | 8.67%**                 | 3.63        | 3.15%                 | 1.05        |  |
| (t+1)-(t-1)                           | -0.19%                  | -0.35       | 0.17%                 | 0.44        | 2.49%                   | 1.41        | -0.77%                | -0.23       |  |
| (t+2)-(t-1)                           | 1.51%**                 | 1.94        | 0.92%                 | 1.4         | 5.81%**                 | 4.17        | 4.69%**               | 2.67        |  |
| Panel C: Payout and Capital Structure |                         |             |                       |             |                         |             |                       |             |  |
|                                       | Total Payout Yield      |             |                       |             | Leverage                |             |                       |             |  |
|                                       | Year-by-Year Peer Match |             | t-2 Performance Match |             | Year-by-Year Peer Match |             | t-2 Performance Match |             |  |
|                                       | Diff w/ Match           | t-statistic | Diff w/ Match         | t-statistic | Diff w/ Match           | t-statistic | Diff w/ Match         | t-statistic |  |
| t-2                                   | 0.02%                   | 0.14        | 0.01%                 | -           | 3.96%**                 | 3.69        | 0.24%**               | 5.96        |  |
| t-1                                   | -0.07%                  | -0.6        | -0.15%                | -1.37       | 3.15%**                 | 3.11        | -0.91%**              | -1.48       |  |
| Event                                 | 0.27%*                  | 1.85        | 0.04%                 | 0.28        | 3.28%**                 | 3.05        | 0.18%                 | 0.23        |  |
| t+1                                   | 0.38%*                  | 1.88        | 0.13%                 | 0.63        | 3.87%**                 | 2.95        | 0.29%                 | 0.28        |  |
| t+2                                   | 0.16%                   | 0.72        | 0.19%                 | 0.8         | 4.45%**                 | 2.69        | 0.49%                 | 0.31        |  |
| (t+1)-(t-1)                           | 0.46%**                 | 2.28        | 0.28%                 | 1.36        | 0.72%                   | 0.99        | 1.20%                 | 1.59        |  |
| (t+2)-(t-1)                           | 0.23%                   | 1.07        | 0.34%                 | 1.58        | 1.30%**                 | 2.7         | 1.40%                 | 1.19        |  |

## 6 Short summary

- The paper studies hedge fund activism using a hand-collected U.S. sample from 2001–2006.
- Activists target firms that are small, liquid, institutionally held, and often value-oriented.
- Activist goals include strategic change, sale, capital structure, governance, and general value maximization.
- Activists rarely seek outright control. Median ownership stakes are modest, and many events begin nonhostile.

- The market responds positively to activism announcements, with about 7–8% abnormal returns around the 13D filing.
- The strongest announcement effects occur for sale and business-strategy campaigns.
- Long-term returns do not reverse the initial announcement gains.
- Activists usually hold positions for months or years, not days or weeks.
- CEO pay falls and CEO turnover rises after activism.
- Payout, leverage, and operating performance improve after activism.
- The paper argues that hedge funds can be effective informed monitors, unlike many earlier forms of institutional activism.

## 7 Conclusion

### 7.1 Core conclusion

Brav, Jiang, Partnoy, and Thomas provide large-sample evidence that hedge fund activism creates value for target shareholders. Activism generates a strong positive market reaction, no obvious long-run reversal, and observable post-event changes in governance, payout, leverage, and operating performance.

### 7.2 Economic intuition

Hedge funds can hold concentrated positions, use strong incentives, coordinate with other shareholders, and pressure managers without taking full control. This lets them target firms where agency problems or strategic inefficiencies are plausibly large. The market capitalizes expected improvements once activism becomes public.

### 7.3 Takeaway

The paper's key lesson is that activist hedge funds are not merely short-term traders. They are a specialized monitoring technology. Their influence comes from minority stakes, credible pressure, and informed intervention rather than control ownership.